PART A
INVITATION TO BID

YOU ARE HEREBY INVITED TO BID FOR REQUIREMENTS OF THE (*NAME OF DEPARTMENT/ PUBLIC ENTITY*) **ESKOM HOLDINGS SOC LTD**					
BID NUMBER:	DXCC1076308527EC	CLOSING DATE:	29 OCTOBER 2026	CLOSING TIME:	18:00 (SAST)
DESCRIPTION	SUPPLY OF STAINLESS STEEL STRAPPING SS304 12.7 mm x 0.75 mm x 30 m ROLL (SAP 0400902) - 4 800 ROLLS				
THE SUCCESSFUL BIDDER WILL BE REQUIRED TO FILL IN AND SIGN A WRITTEN CONTRACT FORM (SBD7).					

BID RESPONSE DOCUMENTS MAY BE DEPOSITED IN THE BID BOX
SITUATED AT *(STREET ADDRESS)*

ELECTRONIC SUBMISSION ON THE NATIONAL TREASURY CSD (RFQ) PORTAL - NO PHYSICAL BID BOX

SUPPLIER INFORMATION

NAME OF BIDDER	NEXTGEN RESELl (PTY) LTD			
POSTAL ADDRESS	364 lagoon drive greencreek Pretoria 0122			
STREET ADDRESS	364 lagoon drive greencreek Pretoria 0122			
TELEPHONE NUMBER	CODE 073		NUMBER	796 0203
CELLPHONE NUMBER	073 796 0203			
FACSIMILE NUMBER	CODE N/A		NUMBER	N/A
E-MAIL ADDRESS	ngcebeshalisa@gmail.com			
VAT REGISTRATION NUMBER	N/A			
	TCS PIN:	**E5G94BG387**	**OR** CSD No:	
B-BBEE STATUS LEVEL VERIFICATION CERTIFICATE [TICK APPLICABLE BOX]	☐ Yes ☐ No		B-BBEE STATUS LEVEL SWORN AFFIDAVIT	☑ Yes ☐ No
IF YES, WHO WAS THE CERTIFICATE ISSUED BY?	SWORN AFFIDAVIT (EME) - SIGNED BEFORE A COMMISSIONER OF OATHS			

AN ACCOUNTING OFFICER AS CONTEMPLATED IN THE CLOSE CORPORATION ACT (CCA) AND NAME THE APPLICABLE IN THE TICK BOX		
	☐	AN ACCOUNTING OFFICER AS CONTEMPLATED IN THE CLOSE CORPORATION ACT (CCA)
	☐	A VERIFICATION AGENCY ACCREDITED BY THE SOUTH AFRICAN ACCREDITATION SYSTEM (SANAS)
	☐	A REGISTERED AUDITOR
		NAME:

[A B-BBEE STATUS LEVEL VERIFICATION CERTIFICATE/SWORN AFFIDAVIT(FOR EMEs& QSEs) MUST BE SUBMITTED IN ORDER TO QUALIFY FOR PREFERENCE POINTS FOR B-BBEE]

ARE YOU THE ACCREDITED REPRESENTATIVE **IN SOUTH AFRICA FOR THE GOODS /SERVICES /WORKS OFFERED?**	☐ Yes ☑ No [IF YES ENCLOSE PROOF]	ARE YOU A FOREIGN BASED SUPPLIER FOR **THE GOODS /SERVICES /WORKS OFFERED?**	☐ Yes ☑ No [IF YES ANSWER PART B:3 BELOW]
SIGNATURE OF BIDDER	..PN..	**DATE**	29/10/26
CAPACITY UNDER WHICH THIS BID IS SIGNED (Attach proof of authority to sign this bid; e.g. resolution of directors, etc.)	MANAGING DIRECTOR Proof of authority attached: Authority to submit a tender (Annexure A)		
TOTAL NUMBER OF ITEMS OFFERED	4800	**TOTAL BID PRICE (ALL INCLUSIVE)**	8 635 200.00

BIDDING PROCEDURE ENQUIRIES MAY BE DIRECTED TO:		**TECHNICAL INFORMATION MAY BE DIRECTED TO:**	
DEPARTMENT/ PUBLIC ENTITY	ESKOM HOLDINGS SOC LTD	CONTACT PERSON	PHOLISA NGCEBESHA
CONTACT PERSON	ONGEZWA MAPEKULA	TELEPHONE NUMBER	073 796 0203
TELEPHONE NUMBER	043 704 1095	FACSIMILE NUMBER	N/A
FACSIMILE NUMBER	N/A	E-MAIL ADDRESS	ngcebeshalisa@gmail.com
E-MAIL ADDRESS	mapekuo@eskom.co.za		

PART B
TERMS AND CONDITIONS FOR BIDDING

1.	**BID SUBMISSION:**
1.1.	BIDS MUST BE DELIVERED BY THE STIPULATED TIME TO THE CORRECT ADDRESS. LATE BIDS WILL NOT BE ACCEPTED FOR CONSIDERATION.
1.2.	**ALL BIDS MUST BE SUBMITTED ON THE OFFICIAL FORMS PROVIDED–(NOT TO BE RE-TYPED) OR ONLINE**
1.3.	**BIDDERS MUST REGISTER ON THE CENTRAL SUPPLIER DATABASE (CSD) TO UPLOAD MANDATORY INFORMATION NAMELY: (BUSINESS REGISTRATION/ DIRECTORSHIP/ MEMBERSHIP/IDENTITY NUMBERS; TAX COMPLIANCE STATUS; AND BANKING INFORMATION FOR VERIFICATION PURPOSES). B-BBEE CERTIFICATE OR SWORN AFFIDAVIT FOR B-BBEE MUST BE SUBMITTED TO BIDDING INSTITUTION.**
1.4.	**WHERE A BIDDER IS NOT REGISTERED ON THE CSD, MANDATORY INFORMATION NAMELY: (BUSINESS REGISTRATION/ DIRECTORSHIP/ MEMBERSHIP/IDENTITY NUMBERS; TAX COMPLIANCE STATUS MAY NOT BE SUBMITTED WITH THE BID DOCUMENTATION. B-BBEE CERTIFICATE OR SWORN AFFIDAVIT FOR B-BBEE MUST BE SUBMITTED TO BIDDING INSTITUTION.**
1.5.	THIS BID IS SUBJECT TO THE PREFERENTIAL PROCUREMENT POLICY FRAMEWORK ACT 2000 AND THE PREFERENTIAL PROCUREMENT REGULATIONS, 2017, THE GENERAL CONDITIONS OF CONTRACT (GCC) AND, IF APPLICABLE, ANY OTHER LEGISLATION OR SPECIAL CONDITIONS OF CONTRACT.
2.	**TAX COMPLIANCE REQUIREMENTS**
2.1	BIDDERS MUST ENSURE COMPLIANCE WITH THEIR TAX OBLIGATIONS.
2.2	BIDDERS ARE REQUIRED TO SUBMIT THEIR UNIQUE PERSONAL IDENTIFICATION NUMBER (PIN) ISSUED BY SARS TO ENABLE THE ORGAN OF STATE TO VIEW THE TAXPAYER'S PROFILE AND TAX STATUS.
2.3	APPLICATION FOR TAX COMPLIANCE STATUS (TCS) OR PIN MAY ALSO BE MADE VIA E-FILING. IN ORDER TO USE THIS PROVISION, TAXPAYERS WILL NEED TO REGISTER WITH SARS AS E-FILERS THROUGH THE WEBSITE WWW.SARS.GOV.ZA.
2.4	BIDDERS MAY ALSO SUBMIT A PRINTED TCS TOGETHER WITH THE BID.
2.5	IN BIDS WHERE CONSORTIA / JOINT VENTURES / SUB-CONTRACTORS ARE INVOLVED, EACH PARTY MUST SUBMIT A SEPARATE PROOF OF TCS / PIN / CSD NUMBER.
2.6	WHERE NO TCS IS AVAILABLE BUT THE BIDDER IS REGISTERED ON THE CENTRAL SUPPLIER DATABASE (CSD), A CSD NUMBER MUST BE PROVIDED.
3.	**QUESTIONNAIRE TO BIDDING FOREIGN SUPPLIERS**
3.1.	IS THE BIDDER A RESIDENT OF THE REPUBLIC OF SOUTH AFRICA (RSA)? ☐ YES ☑ NO
3.2.	DOES THE BIDDER HAVE A BRANCH IN THE RSA? ☐ YES ☑ NO
3.3.	DOES THE BIDDER HAVE A PERMANENT ESTABLISHMENT IN THE RSA? ☐ YES ☑ NO
3.4.	DOES THE BIDDER HAVE ANY SOURCE OF INCOME IN THE RSA? ☐ YES ☑ NO
	IF THE ANSWER IS "NO" TO ALL OF THE ABOVE, THEN, IT IS NOT A REQUIREMENT TO OBTAIN A TAX COMPLIANCE STATUS / TAX COMPLIANCE SYSTEM PIN CODE FROM THE SOUTH AFRICAN REVENUE SERVICE (SARS) AND IF NOT REGISTER AS PER 2.3 ABOVE.

NB: FAILURE TO PROVIDE ANY OF THE ABOVE PARTICULARS MAY RENDER THE BID INVALID.

PREFERENCE POINTS CLAIM FORM IN TERMS OF THE PREFERENTIAL PROCUREMENT REGULATIONS 2022

This preference form must form part of all tenders invited. It contains general information and serves as a claim form for preference points for specific goals.

NB: BEFORE COMPLETING THIS FORM, TENDERERS MUST STUDY THE GENERAL CONDITIONS, DEFINITIONS AND DIRECTIVES APPLICABLE IN RESPECT OF THE TENDER AND PREFERENTIAL PROCUREMENT REGULATIONS, 2022

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1. GENERAL CONDITIONS

1.1 The following preference point systems are applicable to invitations to tender:

- the 80/20 system for requirements with a Rand value of up to R50 000 000 (all applicable taxes included)

1.2 **To be completed by the organ of state**

a) The applicable preference point system for this tender is the 80/20 preference point system.

1.3 Points for this tender (even in the case of a tender for income-generating contracts) shall be awarded for:

(a) Price; and

(b) B-BBEE Status Level of Contributor

1.4 **To be completed by the organ of state:**

The maximum points for this tender are allocated as follows:

	POINTS
PRICE	**80**
B-BBEE STATUS LEVEL OF CONTRIBUTOR	**20**
Total points for Price and B-BBEE must not exceed	**100**

1.5 Failure on the part of a tenderer to submit proof or documentation required in terms of this tender to claim points for specific goals with the tender, will be interpreted to mean that preference points for specific goals are not claimed.

1.6 The organ of state reserves the right to require of a tenderer, either before a tender is adjudicated or at any time subsequently, to substantiate any claim in regard to preferences, in any manner required by the organ of state.

2. DEFINITIONS

(a) **"tender"** means a written offer in the form determined by an organ of state in response to an invitation to provide goods or services through price quotations, competitive tendering process or any other method envisaged in legislation;

(b) **"price"** means an amount of money tendered for goods or services, and includes all applicable taxes less all unconditional discounts;

(c) **"rand value"** means the total estimated value of a contract in Rand, calculated at the time of bid invitation, and includes all applicable taxes;

(d) **"tender for income-generating contracts"** means a written offer in the form determined by an organ of state in response to an invitation for the origination of income-generating contracts through any method envisaged in legislation that will result in a legal agreement between the organ of state and a third party that produces revenue for the organ of state, and includes, but is not limited to, leasing and disposal of assets and concession contracts, excluding direct sales and disposal of assets through public auctions; and

(e) **"the Act"** means the Preferential Procurement Policy Framework Act, 2000 (Act No. 5 of 2000).

3. FORMULAE FOR PROCUREMENT OF GOODS AND SERVICES

3.1. POINTS AWARDED FOR PRICE

3.1.1 THE 80/20 OR 90/10 PREFERENCE POINT SYSTEMS

A maximum of 80 or 90 points is allocated for price on the following basis:

80/20 **or** **90/10**

$$Ps = 80\left(1 - \frac{Pt - P\,min}{P\,min}\right) \text{ or } Ps = 90\left(1 - \frac{Pt - P\,min}{P\,min}\right)$$

Where

Ps = Points scored for price of tender under consideration

Pt = Price of tender under consideration

Pmin = Price of lowest acceptable tender

3.2. **FORMULAE FOR DISPOSAL OR LEASING OF STATE ASSETS AND INCOME GENERATING PROCUREMENT**

3.2.1. **POINTS AWARDED FOR PRICE**

A maximum of 80 or 90 points is allocated for price on the following basis:

80/20 **or** **90/10**

$$Ps = 80\left(1 + \frac{Pt - P\,max}{P\,max}\right) \text{ or } \quad Ps = 90\left(1 + \frac{Pt - P\,max}{Pmax}\right)$$

Where

Ps = Points scored for price of tender under consideration

Pt = Price of tender under consideration

Pmax = Price of highest acceptable tender

4. POINTS AWARDED FOR B-BBEE STATUS LEVEL OF CONTRIBUTOR

4.1. In terms of Regulation 4(2); 5(2); 6(2) and 7(2) of the Preferential Procurement Regulations, preference points must be awarded for B-BBEE status level of contribution stated in the tender. For the purposes of this tender the tenderer will be allocated points based on the B-BBEE Status level of contributor stated in table 1 below as may be supported by proof/ documentation stated in the conditions of this tender:

4.2. In cases where organs of state intend to use Regulation 3(2) of the Regulations, which states that, if it is unclear whether the 80/20 or 90/10 preference point system applies, an organ of state must, in the tender documents, stipulate in the case of—

(a) an invitation for tender for income-generating contracts, that either the 80/20 or 90/10 preference point system will apply and that the highest acceptable tender will be used to determine the applicable preference point system; or

(b) any other invitation for tender, that either the 80/20 or 90/10 preference point system will apply and that the lowest acceptable tender will be used to determine the applicable preference point system,

then the organ of state must indicate the points allocated for B-BBEE status level for both the 90/10 and 80/20 preference point system.

4.3. Allocation of preference points (20/10)

Preference points must be awarded to a bidder for attaining the B-BBEE status level of contribution in accordance with the table below:

B-BBEE Status Level of Contributor	Number of points (80/20 system)
1	20
2	18
3	14
4	12
5	8
6	6
7	4
8	2
Non-complaint contributor	0

To claim preference points, a tenderer must submit the proof of B-BBEE status level of contributor (e.g., a valid B-BBEE certificate issued by a SANAS accredited verification agency / sworn affidavit / CIPC affidavit)

Failure on the part of a supplier to submit "proof of B-BBEE status level of contributor" for purposes of evaluation and scoring by the tender closing will not result in disqualification (if tenderer is otherwise deemed to be responsive/acceptable in all other aspects). The tenderer will, however, be scored zero on B-BBEE for purposes of PPPFA scoring and ranking.

A tenderer may not be awarded points for B-BBEE status level if the tender documents indicate that the tenderer intends to subcontract more than 25% of the value of the contract to any other person not qualifying for at least the points that the tenderer qualifies for, unless the intended subcontractor is an EME that has the capability to execute the subcontract.

DECLARATION WITH REGARD TO COMPANY/FIRM

4.4. Name of company/firm……NEXTGEN RESELL (PTY) LTD…….

4.5. Company registration number: ……2025/226669/07……...

4.6. TYPE OF COMPANY/ FIRM

- ☐ Partnership/Joint Venture / Consortium
- ☐ One-person business/sole propriety
- ☐ Close corporation
- ☐ Public Company
- ☐ Personal Liability Company
- ☑ (Pty) Limited
- ☐ Non-Profit Company
- ☐ State Owned Company

[TICK APPLICABLE BOX]

4.7. I, the undersigned, who is duly authorised to do so on behalf of the company/firm, certify that the points claimed, based on the B-BBEE status level of contributor as advised in the tender, qualifies the company/ firm for the preference(s) shown and I acknowledge that:

i) The information furnished is true and correct;

ii) The preference points claimed are in accordance with the General Conditions as indicated in paragraph 1 of this form;

iii) In the event of a contract being awarded as a result of points claimed as shown in paragraphs 1.4 and 4.2, the contractor may be required to furnish documentary proof to the satisfaction of the organ of state that the claims are correct;

iv) If the B-BBEE status level of contributor has been claimed or obtained on a fraudulent basis or any of the conditions of contract have not been fulfilled, the organ of state may, in addition to any other remedy it may have –

(a) disqualify the person from the tendering process;

(b) recover costs, losses or damages it has incurred or suffered as a result of that person's conduct;

(c) cancel the contract and claim any damages which it has suffered as a result of having to make less favourable arrangements due to such cancellation;

(d) recommend that the tenderer or contractor, its shareholders and directors, or only the shareholders and directors who acted on a fraudulent basis, be restricted from obtaining business from any organ of state for a period not exceeding 10 years, after the *audi alteram partem* (hear the other side) rule has been applied; and

(e) forward the matter for criminal prosecution, if deemed necessary.

PN

……

SIGNATURE(S) OF TENDERER(S)

SURNAME AND NAME: PHOLISA NGCEBESHA ……..

DATE: 29/10/26 ……

ADDRESS: 364 lagoon drive greencreek Pretoria 0122 ……

……

……

……

Unique Identifier: EC19SIF-005	Document Type: Form	Revision: 1	Effective Date: 01 January 2019

Deviation Schedule

Product Description:	STRAP, TIE DOWN: WD 12 MM X THK 0.75 MM, SS304, 30 M ROLL (BAND-IT RSU12F304)		
Eskom SAP Number:	0400902	**Product Code (Item Code):**	RSU12F304
Latest Specification Applicable (i.e. Eskom D-DT # & Rev #):	Eskom D-DT-3131, Rev 7 (SAP 0400902)		

This deviation schedule is to be completed by all potential suppliers or manufacturers **whether or not a deviation exists** from Eskom requirements.
All deviations offered which does not conform to the latest specification applicable shall be listed below with reasons for the deviation. **Please indicate clearly.**

Clause	Proposed Deviation	Reason
D-DT-3131 Width	Offered strap width is 12.7 mm (1/2 inch) x 0.75 mm, instead of the 12 mm width stated on D-DT-3131 / SAP 0400902.	Standard commercial size of Band-It strap RSU12F304; the RFQ detailed specification (page 11) itself states 12.7 mm x 0.75 mm.

Product Manufacturer:	BAND-IT (supplied through ACDC Dynamics)	**Deviation Exists:**	**Yes**	X	**No**	
Supplier to Eskom:	Nextgen Resell (Pty) Ltd	**Supplier Representative:**	Pholisa Ngcebesha			
Supplier Representative Signature:		**Date:**	29/10/2026			

Note: All fields are mandatory and must be completed accordingly.

SBD 4

DECLARATION OF INTEREST

1. Any legal person, including persons employed by the state[1], or persons having a kinship with persons employed by the state, including a blood relationship, may make an offer or offers in terms of this invitation to bid (includes a price quotation, advertised competitive bid, limited bid or proposal). In view of possible allegations of favouritism, should the resulting bid, or part thereof, be awarded to persons employed by the state, or to persons connected with or related to them, it is required that the bidder or his/her authorised representative declare his/her position in relation to the evaluating/adjudicating authority where-

   - the bidder is employed by the state; and/or

   - the legal person on whose behalf the bidding document is signed, has a relationship with persons/a person who are/is involved in the evaluation and or adjudication of the bid(s), or where it is known that such a relationship exists between the person or persons for or on whose behalf the declarant acts and persons who are involved with the evaluation and or adjudication of the bid.

2. **In order to give effect to the above, the following questionnaire must be completed and submitted with the bid.**

2.1 Full Name of bidder or his or her representative: PHOLISA NGCEBESHA

2.2 Identity Number: 9211280796081

2.3 Position occupied in the Company (director, trustee, shareholder[2]): MANAGING DIRECTOR

2.4 Company Registration Number: 2025/226669/07

2.5 Tax Reference Number: 9478728224

2.6 VAT Registration Number: N/A

2.6.1 The names of all directors / trustees / shareholders / members, their individual identity numbers, tax reference numbers and, if applicable, employee / persal numbers must be indicated in paragraph 3 below.

[1]"State" means –

(a) any national or provincial department, national or provincial public entity or constitutional institution within the meaning of the Public Finance Management Act, 1999 (Act No. 1 of 1999);
(b) any municipality or municipal entity;
(c) provincial legislature;
(d) national Assembly or the national Council of provinces; or
(e) Parliament.

[2]"Shareholder" means a person who owns shares in the company and is actively involved in the management of the enterprise or business and exercises control over the enterprise.

2.7	Are you or any person connected with the bidder presently employed by the state?	**YES / NO**
2.7.1	If so, furnish the following particulars:	
	Name of person / director / trustee / shareholder/ member:	……..……
	Name of state institution at which you or the person connected to the bidder is employed :	……
	Position occupied in the state institution:	……
	Any other particulars: …… …… ……	
2.7.2	If you are presently employed by the state, did you obtain the appropriate authority to undertake remunerative work outside employment in the public sector?	**YES / NO**
2.7.2.1	If yes, did you attached proof of such authority to the bid document? (Note: Failure to submit proof of such authority, where applicable, may result in the disqualification of the bid.	**YES / NO**
2.7.2.2	If no, furnish reasons for non-submission of such proof: …… …… ……	
2.8	Did you or your spouse, or any of the company's directors / trustees / shareholders / members or their spouses conduct business with the state in the previous twelve months?	**YES / NO**
2.8.1	If so, furnish particulars: …….. …….. ……...	
2.9	Do you, or any person connected with the bidder, have any relationship (family, friend, other) with a person employed by the state and who may be involved with the evaluation and or adjudication of this bid?	**YES / NO**

2.9.1 If so, furnish particulars.

……...
……..….
……

2.10 Are you, or any person connected with the bidder, aware of any relationship (family, friend, other) between any other bidder and any person employed by the state who may be involved with the evaluation and or adjudication of this bid? **YES/NO**

2.10.1 If so, furnish particulars.

……
……
……

2.11 Do you or any of the directors / trustees / shareholders / members of the company have any interest in any other related companies whether or not they are bidding for this contract? **YES/NO**

2.11.1 If so, furnish particulars:

……
……
……

3 Full details of directors / trustees / members / shareholders.

Full Name	Identity Number	Personal Tax Reference Number	State Employee Number / Persal Number
PHOLISA NGCEBESHA	9211280796081		N/A

4 DECLARATION

I, THE UNDERSIGNED (NAME)PHOLISA NGCEBESHA……

CERTIFY THAT THE INFORMATION FURNISHED IN PARAGRAPHS 2 and 3 ABOVE IS CORRECT. I ACCEPT THAT THE STATE MAY REJECT THE BID OR ACT AGAINST ME IN TERMS OF PARAGRAPH 23 OF THE GENERAL CONDITIONS OF CONTRACT SHOULD THIS DECLARATION PROVE TO BE FALSE.

……..	29/10/26 ……
Signature	Date
MANAGING DIRECTOR ……	Nextgen Resell (Pty) Ltd ……
Position	Name of bidder

PN

DECLARATION CERTIFICATE FOR LOCAL PRODUCTION AND CONTENT FOR DESIGNATED SECTORS

This Standard Bidding Document (SBD) must form part of all bids invited. It contains general information and serves as a declaration form for local content (local production and local content are used interchangeably).

Before completing this declaration, bidders must study the General Conditions, Definitions, Directives applicable in respect of Local Content as prescribed in the Preferential Procurement Regulations, 2017, the South African Bureau of Standards (SABS) approved technical specification number SATS 1286:2011 (Edition 1) and the Guidance on the Calculation of Local Content together with the Local Content Declaration Templates [Annex C (Local Content Declaration: Summary Schedule), D (Imported Content Declaration: Supporting Schedule to Annex C) and E (Local Content Declaration: Supporting Schedule to Annex C)].

1. General Conditions

1.1. Preferential Procurement Regulations, 2017 (Regulation 8) make provision for the promotion of local production and content.

1.2. Regulation 8.(2) prescribes that in the case of designated sectors, organs of state must advertise such tenders with the specific bidding condition that only locally produced or manufactured goods, with a stipulated minimum threshold for local production and content will be considered.

1.3. Where necessary, for tenders referred to in paragraph 1.2 above, a two stage bidding process may be followed, where the first stage involves a minimum threshold for local production and content and the second stage price and B-BBEE.

1.4. A person awarded a contract in relation to a designated sector, may not sub-contract in such a manner that the local production and content of the overall value of the contract is reduced to below the stipulated minimum threshold.

1.5. The local content (LC) expressed as a percentage of the bid price must be calculated in accordance with the SABS approved technical specification number SATS 1286: 2011 as follows:

LC = [1 - x / y] * 100

Where
x is the imported content in Rand
y is the bid price in Rand excluding value added tax (VAT)

Prices referred to in the determination of x must be converted to Rand (ZAR) by using the exchange rate published by South African Reserve Bank (SARB) at 12:00 on the date of advertisement of the bid as indicated in paragraph 4.1 below.

The SABS approved technical specification number SATS 1286:2011 is accessible on http:/www.thedti.gov.za/industrial development/ip.jsp at no cost.

1.6. A bid may be disqualified if this Declaration Certificate and the Annex C (Local Content Declaration: Summary Schedule) are not submitted as part of the bid documentation;

2. The stipulated minimum threshold(s) for local production and content (refer to Annex A of SATS 1286:2011) for this bid is/are as follows:

Description of services, works or goods	Stipulated minimum threshold
Strap, tie down WD 12 mm × THK 0.75 mm, SS304, 30 m roll (SAP 0400902)	100 %
	%
	%

3. Does any portion of the goods or services offered have any imported content?
(***Tick applicable box***)

YES	✓	NO	

3..1 If yes, the rate(s) of exchange to be used in this bid to calculate the local content as prescribed in paragraph 1.5 of the general conditions must be the rate(s) published by SARB for the specific currency at 12:00 on the date of advertisement of the bid.

The relevant rates of exchange information is accessible on www.reservebank.co.za

Indicate the rate(s) of exchange against the appropriate currency in the table below (refer to Annex A of SATS 1286:2011):

Currency	**Rates of exchange**
US Dollar	R16.5320
Pound Sterling	
Euro	
Yen	
Other	

NB: Bidders must submit proof of the SARB rate (s) of exchange used.

4. Where, after the award of a bid, challenges are experienced in meeting the stipulated minimum threshold for local content the dti must be informed accordingly in order for the dti to verify and in consultation with the AO/AA provide directives in this regard.

LOCAL CONTENT DECLARATION
(REFER TO ANNEX B OF SATS 1286:2011)

LOCAL CONTENT DECLARATION BY CHIEF FINANCIAL OFFICER OR OTHER LEGALLY RESPONSIBLE PERSON NOMINATED IN WRITING BY THE CHIEF EXECUTIVE OR SENIOR MEMBER/PERSON WITH MANAGEMENT RESPONSIBILITY (CLOSE CORPORATION, PARTNERSHIP OR INDIVIDUAL)

IN RESPECT OF BID NO. DXCC1076308527EC .....

ISSUED BY: (Procurement Authority / Name of Institution):
ESKOM HOLDINGS SOC LTD .....

NB

1 The obligation to complete, duly sign and submit this declaration cannot be transferred to an external authorized representative, auditor or any other third party acting on behalf of the bidder.

2 Guidance on the Calculation of Local Content together with Local Content Declaration Templates (Annex C, D and E) is accessible on http://www.thdti.gov.za/industrial_development/ip.jsp. Bidders should first complete Declaration D. After completing Declaration D, bidders should complete Declaration E and then consolidate the information on Declaration C. **Declaration C should be submitted with the bid documentation at the closing date and time of the bid in order to substantiate the declaration made in paragraph (c) below.** Declarations D and E should be kept by the bidders for verification purposes for a period of at least 5 years. The successful bidder is required to continuously update Declarations C, D and E with the actual values for the duration of the contract.

I, the undersigned, PHOLISA NGCEBESHA (full names), do hereby declare, in my capacity as MANAGING DIRECTOR of NEXTGEN RESELL (PTY) LTD (name of bidder entity), the following:

(a) The facts contained herein are within my own personal knowledge.

(b) I have satisfied myself that:

(i) the goods/services/works to be delivered in terms of the above-specified bid comply with the minimum local content requirements as specified in the bid, and as measured in terms of SATS 1286:2011; and

(c) The local content percentage (%) indicated below has been calculated using the formula given in clause 3 of SATS 1286:2011, the rates of exchange indicated in paragraph 4.1 above and the information contained in Declaration D and E which has been consolidated in Declaration C:

Bid price, excluding VAT (y)	R 8,635,200.00
Imported content (x), as calculated in terms of SATS 1286:2011	R 4,382,880.00
Stipulated minimum threshold for local content (paragraph 3 above)	100 %
Local content %, as calculated in terms of SATS 1286:2011	49.2 %

If the bid is for more than one product, the local content percentages for each product contained in Declaration C shall be used instead of the table above.
The local content percentages for each product has been calculated using the formula given in clause 3 of SATS 1286:2011, the rates of exchange indicated in paragraph 4.1 above and the information contained in Declaration D and E.

(d) I accept that the Procurement Authority / Institution has the right to request that the local content be verified in terms of the requirements of SATS 1286:2011.

(e) I understand that the awarding of the bid is dependent on the accuracy of the information furnished in this application. I also understand that the submission of incorrect data, or data that are not verifiable as described in SATS 1286:2011, may result in the Procurement Authority / Institution imposing any or all of the remedies as provided for in Regulation 14 of the Preferential Procurement Regulations, 2017 promulgated under the Preferential Policy Framework Act (PPPFA), 2000 (Act No. 5

of 2000).

SIGNATURE: PN **DATE:** 29/10/26

WITNESS No. 1 KEVIN **DATE:** 29/10/26

WITNESS No. 2 GABRIEL **DATE:** 29/10/26

SATS 1286.2011

Annex C

Local Content Declaration - Summary Schedule

(C1)	**Tender No.**	DXCC1076308527EC
(C2)	**Tender description:**	Strap, tie down 12 mm x 0.75 mm SS304, 30 m roll
(C3)	**Designated product(s)**	Powerline hardware (strap tie)
(C4)	**Tender Authority:**	Eskom Holdings SOC Ltd
(C5)	**Tendering Entity name:**	Nextgen Resell (Pty) Ltd
(C6)	**Tender Exchange Rate:**	Pula EU GBP USD R16.5320
(C7)	**Specified local content %**	100%

Note: VAT to be excluded from all calculations

Calculation of local content

Tender item no's	List of items	Tender price - each (excl VAT)	Exempted imported value	Tender value net of exempted imported content	Imported value	Local value	Local content % (per item)
(C8)	(C9)	(C10)	(C11)	(C12)	(C13)	(C14)	(C15)
1	Strap SS304 12.7x0.75mm 30m (RSU12F304)	1,799.00	0.00	1,799.00	913.10	885.90	49.2%

Tender summary

Tender Qty	Total tender value	Total exempted imported content	Total Imported content
(C16)	(C17)	(C18)	(C19)
4800	8,635,200.00	0.00	4,382,880.00

(C20) Total tender value	8,635,200.00
(C21) Total Exempt imported content	0.00
(C22) Total Tender value net of exempt imported content	8,635,200.00
(C23) Total Imported content	4,382,880.00
(C24) Total local content	4,252,320.00
(C25) Average local content % of tender	49.2%

Signature of tenderer from Annex B

Date: 29/10/2026

Annex D

Imported Content Declaration - Supporting Schedule to Annex C

(D1)	Tender No.	DXCC1076308527EC
(D2)	Tender description:	Strap SS304 12.7 x 0.75 mm, 30 m roll
(D3)	Designated Products:	Powerline hardware (strap tie)
(D4)	Tender Authority:	Eskom Holdings SOC Ltd
(D5)	Tendering Entity name:	Nextgen Resell (Pty) Ltd
(D6)	Tender Exchange Rate:	Pula

Note: VAT to be excluded from all calculations

EU R 9.00 GBP R 12.00 USD R16.5320

A. Exempted imported content

Tender item no's	Description of imported content	Local supplier	Overseas Supplier	Calculation of imported content: Forign currency value as per Commercial Invoice	Tender Exchange Rate	Local value of imports	Freight costs to port of entry	All locally incurred landing costs & duties	Total landed cost excl VAT	Summary: Tender Qty	Exempted imported value
(D7)	(D8)	(D9)	(D10)	(D11)	(D12)	(D13)	(D14)	(D15)	(D16)	(D17)	(D18)

(D19) Total exempt imported value 0.00

This total must correspond with Annex C - C 21

B. Imported directly by the Tenderer

Tender item no's	Description of imported content	Unit of measure	Overseas Supplier	Calculation of imported content: Forign currency value as per Commercial Invoice	Tender Rate of Exchange	Local value of imports	Freight costs to port of entry	All locally incurred landing costs & duties	Total landed cost excl VAT	Summary: Tender Qty	Total imported value
(D20)	(D21)	(D22)	(D23)	(D24)	(D25)	(D26)	(D27)	(D28)	(D29)	(D30)	(D31)

(D32) Total imported value by tenderer 0.00

C. Imported by a 3rd party and supplied to the Tenderer

Description of imported content	Unit of measure	Local supplier	Overseas Supplier	Calculation of imported content: Forign currency value as per Commercial Invoice	Tender Rate of Exchange	Local value of imports	Freight costs to port of entry	All locally incurred landing costs & duties	Total landed cost excl VAT	Summary: Quantity imported	Total imported value
(D33)	(D34)	(D35)	(D36)	(D37)	(D38)	(D39)	(D40)	(D41)	(D42)	(D43)	(D44)
Strap SS304 12.7x0.75mm RSU12F304	Roll	ACDC Dynamics	Band-It (OEM)	-	16.5320	-	-	-	913.10	4800	4,382,880.00

(D45) Total imported value by 3rd party 4,382,880.00

D. Other foreign currency payments

Type of payment	Local supplier making the payment	Overseas beneficiary	Calculation of foreign currency payments: Foreign currency value paid	Tender Rate of Exchange	Summary of payments: Local value of payments
(D46)	(D47)	(D48)	(D49)	(D50)	(D51)

(D52) Total of foreign currency payments declared by tenderer and/or 3rd party 0.00

(D53) Total of imported content & foreign currency payments - (D32), (D45) & (D52) above 4,382,880.00

This total must correspond with Annex C - C 23

Signature of tenderer from Annex B

Date: 29/10/2026

SATS 1286.2011

Annex E

Local Content Declaration - Supporting Schedule to Annex C

(E1)	**Tender No.**	DXCC1076308527EC
(E2)	**Tender description:**	Strap SS304 12.7 x 0.75 mm, 30 m roll
(E3)	**Designated products:**	Powerline hardware (strap tie)
(E4)	**Tender Authority:**	Eskom Holdings SOC Ltd
(E5)	**Tendering Entity name:**	Nextgen Resell (Pty) Ltd

Note: VAT to be excluded from all calculations

Local Products (Goods, Services and Works)	Description of items purchased	Local suppliers	Value
	(E6)	*(E7)*	*(E8)*
	No local products purchased (item is imported)	N/A	0.00
		(E9) **Total local products (Goods, Services and Works)**	0.00

(E10) **Manpower costs** (Tenderer's manpower cost) 0.00

(E11) **Factory overheads** (Rental, depreciation & amortisation, utility costs, consumables etc.) 0.00

(E12) **Administration overheads and mark-up** (Marketing, insurance, financing, interest etc.) 4,252,320.00

(E13) **Total local content** 4,252,320.00

This total must correspond with Annex C - C24

Signature of tenderer from Annex B

29/10/2026

Date:

Indicate the status of the *tenderer* by ticking the appropriate box hereunder. The *tenderer* must complete the certificate set out below for his category of organisation or alternatively attach a certified copy of a company / organisation document which provides the same information for the relevant category as requested here.

A COMPANY	B CLOSE CORPORATION	C PARTNERSHIP	D JOINT VENTURE	E SOLE PROPRIETOR
X				

A. Certificate for company

I,_ Pholisa Ngcebesha _._ _ _ , chairperson of the board of directors of _ _ _ _ _ _ _ _ _ Nextgen Resell (Pty) Ltd _., hereby confirm that by resolution of the board taken on 29/10/2026 (date), Mr/Ms Pholisa Ngcebesha , acting in the capacity of _ _ _ _ _ Managing Director , was authorised to sign all documents in connection with this tender offer and any contract resulting from it on behalf of the company.

Signed:	**Date:** 29/10/2026
Name: Pholisa Ngcebesha	**Position:** Chairperson **(Chairman of the Board of Directors)**

B. Certificate for close corporation

I,_ _._ _ _ , member of _, hereby confirm that by majority vote of the members taken on _ _ _ ___ _____(date), Mr/Ms _ , acting in the capacity of _ , was authorised to sign all documents in connection with this tender offer and any contract resulting from it on behalf of the company.

Signed:	**Date:**
Name:	**Position:** **(Member)**

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C. Certificate for partnership

We, the undersigned, being the **key partners** in the business trading as _ hereby authorise Mr/Ms _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _, acting in the capacity of _, to sign all documents in connection with the tender offer for Contract _ and any contract resulting from it on our behalf.

Name	Address	Signature	Date

NOTE: This certificate is to be completed and signed by the full number of Partners necessary to commit the Partnership. Attach additional pages if more space is required.

D. Certificate for Joint Venture

We, the undersigned, are submitting this tender offer in Joint Venture and hereby authorise Mr/Ms _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _, an authorised signatory of the company _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _ _

E. Certificate for sole proprietor

I, _____ , hereby confirm that I am the sole owner of the business trading as _____ _.

Signed:	**Date:**
Name:	**Position:** **(Sole Proprietor)**

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Note: This returnable is required to be fully completed, signed, and submitted by tenderers at the stipulated deadlines.

DECLARATION OF INTEREST

I/We understand that any natural/legal person, including employees of the State and/or those related to an Eskom employee/director (as per the definition of "related" set out hereunder), may tender to Eskom. However, in view of possible allegations of favouritism (the practice of showing favour to, or giving preference to some person/group, to the detriment of, or at the expense of another that is entitled to equal treatment or an equal opportunity), should the resulting tender, or part thereof, be awarded to such natural/legal person, as described herein, it is required that the *tenderer/s* declare such interest/relationship where:-

- the *tenderer/s* employees/directors are also employees/contractors/consultants/ directors in the state or a state owned entity.
- the *tenderer/s* employees/directors are also employees/contractors/consultants/ directors of Eskom
- the *tenderer/s* employees/directors are also employees/contractors/consultants or directors in another entity together with Eskom employees/consultants/contractors/ directors
- the *legal person/s (including its employees/contractors/directors/members/ shareholders)* on whose behalf the tender documents are signed, is in some other way "related" to an Eskom employee/contractor/consultant/director involved in the tender evaluation/tender adjudication/tender negotiation. "Related" meaning that:-
- an individual is related to another individual of they are married, or live together in a relationship similar to marriage.
- or are separated by no more than two degrees of natural or adopted consanguinity or affinity;
- an individual is related to a juristic person if the individual directly or indirectly controls the juristic person, as determined in accordance with the definition of "control" (as per Companies Act section 2(1)) ; and

- **a juristic person is "related" to another juristic person if :-**
  (1) either of them directly/indirectly controls the other, or the business of the other, as determined in accordance with the definition of "control"(as per Companies Act section 2(1));
  (2) either is a subsidiary of the other; or
  (3) a person directly/indirectly controls each of them, or the business of each of them, as determined in accordance with the definition of "control"
- the *tenderer/s* and one or more of the *tenderers* in this tendering/RFP process have a controlling partner in common, or a relationship with each other, directly or through common third parties, that puts them in a position to have access to information about or influence on the tender/proposal of another tenderer, or influence the decisions of Eskom regarding this bidding process;

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To give effect to the provisions above, please complete the table hereunder with all required information.

Full Name & Capacity/ Position within tenderer (e.g. employee/ Director/ member/ owner/ shareholder)	Identity Number	Confirm and provide details (including employee number) if you are a State/State owned entity employee/contractor/ director.	Full Names & Capacity/Position of Eskom employee/ director/ consultant and details of the relationship or interest (marital/ familial/personal/ financial etc.)	To your knowledge is this person involved in the evaluation/ adjudication/ negotiation of tenders
Pholisa Ngcebesha Managing Director / Owner	9211280796081	N/A	None	N/A

- If any employee/director/member/shareholder/owner of tenderer/s is also currently employed by Eskom, state whether this has been declared and whether there is authorisation(Y/N) to undertake remunerative work outside public sector employment and attach proof to this declaration. N/A - No (N)

- Do the tenderer/s and other tenderer in this tendering/RFP process share a controlling partner or have any relationship with each other, directly or through common third parties? (Y/N) If Yes, attach proof to this declaration. No (N)

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2. DECLARATION OF FAIR TENDERING PRACTICES

This serves as a declaration that when goods/services are being procured, all reasonable steps have been taken to address and/or prevent the exploitation of the procurement process and the use of any unfair tendering practices.

A ***[tender/proposal]*** will be disqualified if the *tenderer/s*, or any of its directors have:

- abused the institution's procurement process (e.g. bid rigging/collusion)
- committed fraud or any other improper conduct in relation to such system.

Please complete the declaration with an '**X**" under YES or NO

Item	Question	Yes/No	No
1.1	Is the *tenderer/s(or any of its directors/members/shareholders)* listed on National Treasury's Database of Restricted Suppliers as companies/persons prohibited from doing business with the public sector ***[Note: Companies/persons who are listed on the Database were informed in writing of this restriction by the Authority/Accounting Officer of the institution that imposed the restriction after the audi alteram partem rule was applied].*** The Database of Restricted Suppliers can be accessed on the National Treasury's website (www.treasury.gov.za).		X
1.2	Is the *tenderer/s (or any of its directors / members / shareholders)*? listed on the Register for Tender Defaulters in terms of section 29 of the Prevention and Combatting of Corrupt Activities Act (No 12 of 2004) The Register for Tender Defaulters can be accessed on the National Treasury's website (www.treasury.gov.za).		X
1.3	Was the *tenderer/s (*or any of its directors/members/shareholders) convicted by a court of law (including a court outside South Africa) for fraud and/or corruption with respect to the procurement/tendering processes/procedures during the past five years?		X
1.3.1	Provide details. N/A		
1.4	Was the *tenderer/s(or any of its directors/members/shareholders)* prohibited from doing business with any International Financial Development/funding Agency or Lending Institution		X
1.5	*Is there any history/record of the tenderer/s (or any of its directors/members/shareholders) failing to meet their contractual obligation with any SOC?*		X

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3. DECLARATION OF SHAREHOLDING INFORMATION

I, the undersigned Pholisa Ngcebesha [*Position*] Managing Director hereby declare that I am the duly authorised representative of Nextgen Resell (Pty) Ltd [*Name of Tenderer*].

I further declare that the following individuals and/or entities listed hereunder are Shareholders in Nextgen Resell (Pty) Ltd [*Name of Tenderer*]:

Note that this information in the tables hereunder must be fully completed for each tenderer (including incorporated JVs). In event that the tenderer is an unincorporated JV, this must be completed for each JV member. Please add additional rows if required.

Individuals:

Full Name	Identity Number	Shareholding Percentage
Pholisa Ngcebesha	9211280796081	100%

Other Entities*:

Full Legal/ Trading Name	Registration Number/ Trust Number	Shareholding Percentage	Full name and surname of the directors/beneficiaries/shareholders of the shareholding entity	Identification Numbers of the directors/beneficiaries/shareholders of the shareholding entity
N/A	N/A	N/A	N/A	N/A

I, the undersigned, Pholisa Ngcebesha (full names) hereby confirm that I am duly authorised to sign all documents in connection with this tender and any contract resulting from it on behalf of Nextgen Resell (Pty) Ltd (insert the full legal name of tenderer).

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I declare that I have read and understood the provisions of the Supplier Integrity Pact, that all information furnished herein is correct, that it is understood that the tenderer's tender/proposal may be rejected, and that Eskom will act against the tenderer should any aspect of this this declaration prove to be false, and

I give my consent for this information to be used for the purpose as described in this Integrity Declaration Form and/or in relation to the Supplier Integrity Pact, and

I further consent that information provided in terms of this Integrity Declaration Form may be processed for verification of conflicts of interest and other ancillary purposes by Eskom. Such processing may include the sharing of the information with third parties.

Signature:	
Designation and capacity in which signing	Managing Director
Date:	29/10/2026

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Joint Ventures

I, the undersigned, _____(full names) hereby confirm that acting in the capacity of lead partner, I am duly authorised to sign all documents in connection with the tender and any contract resulting from it on behalf of _____(insert the full legal name of the JV); and

I declare that I have read and understood the provisions of the Supplier Integrity Pact, that all information furnished herein is correct, that it is understood that the JV's tender/proposal may be rejected, and that Eskom will act against the JV should any aspect of this declaration prove to be false; and

I give my consent for this information to be used for the purpose as described in this Integrity Declaration Form and/or in relation to the Supplier Integrity Pact, and

I further consent that information provided in terms of this Integrity Declaration Form may be processed for verification of conflicts of interest and other ancillary purposes by Eskom. Such processing may include the sharing of the information with third parties.

Signature:	
Designation and capacity in which signing	
Date:	

(A copy of the joint venture agreement which incorporates a statement that all partners are liable jointly and severally for the execution of the contract and that the lead partner is authorised to incur liabilities, receive instructions and payments and be responsible for the entire execution of the contract for and on behalf of all the partners is attached to the invitation to tender/Request for proposal).

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national treasury
Department:
National Treasury
REPUBLIC OF SOUTH AFRICA

Private Bag X115, Pretoria, 0001

TO: ACCOUNTING OFFICERS OF ALL NATIONAL DEPARTMENTS AND CONSTITUTIONAL INSTITUTIONS

ACCOUNTING OFFICERS OF ALL MUNICIPALITIES AND MUNICIPAL ENTITIES

ACCOUNTING AUTHORITIES OF ALL SCHEDULE 2 AND 3 PUBLIC ENTITIES

HEAD OFFICIALS OF PROVINCIAL TREASURIES

NATIONAL TREASURY DESIGNATED SECTORS CIRCULAR NUMBER 1 OF 2020/2021:

INVITATION AND EVALUATION OF BIDS WITH A STIPULATED MINIMUM THRESHOLD FOR LOCAL PRODUCTION AND CONTENT FOR:

- **Steel Power Pylons**
- **Monopole Pylons**
- **Steel Substation Structures**
- **Powerline Hardware**
- **Street Lighting Steel Poles**
- **Steel Lattice Towers and Masts**

1. PURPOSE

1.1 The purpose of this Circular is to introduce amendments to Instruction Note Number 9 of 2016/2017, that designated steel power pylons, monopole pylons, steel substation structures, powerline hardware, steel lattice towers & masts and street lighting steel poles for 100% local procurement.

1.2 The amendments contained in the new Circular seek to clarify the list of products and components included in the Instruction Note Number 9 of 2016/2017.

1.3 The Circular will regulate the environment within which Accounting Officers (AOs) and Accounting Authorities (AAs) may procure the aforementioned products that are designated for local production and content.

2. BACKGROUND

2.1. The Preferential Procurement Regulations, 2017 ('the regulations'), made in terms of Section 5 of the Preferential Procurement Policy Framework Act No. 5 of 2000 (PPPFA) which came into effect on 1 April 2017, make provision for the Department of Trade and Industry (**the dti),** now the Department of Trade, Industry and Competition (**the dtic**) to designate sectors in line with national development and industrial policies for local production.

2.2. Regulation 8 (1) of the regulations prescribes that in the case of designated sectors where in the award of bids, local production and content is of critical importance, such bids must be advertised with the specific condition that only locally produced goods, services and/or works with a stipulated minimum threshold for local production and content will be considered.

2.3. To this end, **the dtic** has designated and determined the stipulated minimum threshold for the Steel Power Pylons, Monopoles Pylons; Steel Substation Structures; Powerline Hardware; Street Lighting; Steel Poles and Steel Lattice Towers and Masts sectors for local production and content in the Instruction Note Number 9 of 2016/2017.

2.4 A review of the existing list of designated products and components has become necessary to provide further clarity and disaggregation on the items under these products and components in the Instruction Note Number 9 of 2016/2017. The review mainly affects Powerline Hardware and Steel Substation Structures. It will emphasize that the *transmission line hardware* and the *distribution line hardware* items fall under **Powerline Hardware** and also confirm that the *substation hardware components* are classified as **Steel Substation Structures**.

3. PRODUCT DESIGNATION

3.1 **Power pylons and substation structures** are steel fabricated (cut, punched and galvanised) components erected for the transmission, distribution and/or reticulation of electrical power from the power station through to the consumer. At every transition between power generation, power transmission and power distribution there is a need for the erection of a substation which serves as a facility for the stepping up or down of power in preparation for the requirements of the next phase of the power transfer process. Substations are erected using steel structures fabricated by means of cutting, punching and galvanising.

3.2 Depending on the procuring entity's design and functionality requirements, galvanised **steel monopole structures** may be specified instead of power pylons for the transfer of power from the power station through to the end user. Galvanised steel monopoles are fabricated following a cutting, bending, welding and galvanising process.

3.3 In the construction of power pylons, monopoles, substation structures and distribution powerlines a variety of auxiliary components are used to fulfil such requirements as providing stability to the power pylon structures, attachment and fastening of components, provision of platforms and foundations, etc. These auxiliary components are made using a variety of metals including cast aluminium, galvanised steel, composite materials, brass and others. These components are collectively called **powerline hardware** and are used in both **power transmission** and **distribution**.

3.4 **Composite Insulators:** These insulators have at least two insulating parts, such as a fibre glass core and a polymer housing equipped with metal end fittings. They provide mechanical strength and insulate conductors from the structures they are attached to.

3.5 The components addressed under this Designation Note are classified as follows under the harmonisation system:

3.5.1 Powerline Line, Distribution Line and Substation Hardware

- HS730890: Structures and parts of structures of iron/steel (Including steel powerline hardware)
- HS730820: Towers and lattice masts (Including monopole pylons and street lighting poles)
- HS761090: Aluminium structures and parts for construction (Including aluminium powerline hardware)
- H854690: Electrical insulators of composite polymer materials

To ensure that local production and content is discharged on manufacturing activities, the products and components in Table 1 have been designated and must be included in bid invitations[1]. *Different methods and/or process are used to manufacture the products/components. These include casting, forging, drawing, rolling, fabrication, helically or wire formed, injection, moulding, baking or a combination of these methods or processes.*

Table 1: Steel Power Pylons, Monopole Pylons, Steel Substation Structures, Powerline Hardware, Street Lighting Steel Poles and Steel Lattice Towers and Masts

Products for Designation	Minimum Local Content
Steel Power Pylons	100%
Monopole Pylons	100%
Steel Substation Structures	100%
Powerline Hardware (*distribution line hardware and transmission line hardware*)	100%
Street Lighting Steel Poles	100%
Steel Lattice Towers And Masts	100%

3.6 All primary steel related products: flat products (plates and coils) and long products (rounds, angles, sections and wire related products) and secondary aluminium ingots are included in this designation and must be manufactured and sourced locally. This is to support and sustain the existing local steelmaking and aluminium secondary smelting capacities respectively.

3.7 In this designation, imported input raw materials such as aluminium extrusion billets for the manufacture of aluminium components; rubber and zinc used in hot deep galvanising processes are deemed as locally manufactured products. These inputs should be imported in raw material form for further fabrication in South Africa.

3.8 The imported input raw material indicated in will be deemed to have been sourced locally for the purposes of calculating local content.

3.10 Subject to market changes, National Treasury in consultation with **the dtic** reserves the right to reintroduce deeming of primary steel as locally produced.

[1] *Please see Annexure A for a detailed breakdown*

4. INVITATION OF BIDS FOR STEEL POWER PYLONS, MONOPOLE PYLONS, STEEL SUBSTATION STRUCTURES, POWERLINE HARDWARE, STREET LIGHTING STEEL POLES AND STEEL LATTICE TOWERS AND MASTS

4.1. Bids in respect of Steel Power Pylons, Monopoles Pylons; Steel Substation Structures; Powerline Hardware; Street Lighting Steel Poles and Steel Lattice Towers and Masts must contain a specific bidding condition which states that:

4.1.1 If the quantity of materials and/or products required cannot be wholly sourced from South African based manufacturers and/or at the designated local content threshold at any particular time, bidders should obtain written approval from **the dtic** to supply the remaining portion at a lower local content threshold. **the dtic**, in consultation with the procuring organ of state, will grant such approval on a case-by-case basis and will consider the following:

- required volumes in the particular bid;
- available collective South African industry manufacturing capacity at that time;
- delivery times;
- availability of input materials and components;
- technical considerations including operating conditions;
- materials of construction; and
- security of supply and emergencies.

4.1.2 Bidders must clearly indicate in their bids the quantities of material and products to be supplied and the level of local content for each product.

4.1.3 The turn-around time for processing of authorisation requests is 5 working days from the date of receipt. Therefore, such applications should reach **the dtic** at least five days before closing date and time of bid.

4.1.4 The approval process that **the dtic** follows is that if there is a particular designated product and the minimum threshold for local content cannot be met for various reasons, bidders must apply for approval or authorization (when the tender is still open, before closing date). After checking with the industry, **the dtic** will then decide whether or not to grant an authorization. This is per bid.

4.1.5 The tender information / relevant information must be provided on the tenderer's / supplier's letterhead when requesting an authorisation letter:

- Procuring entity/government department/state owned company,
- Tender/bid number,
- Closing date,
- Item(s) for which the approval is being requested for,
- Detailed specifications issued by the procuring entity
- Local content that can be met
- Reason(s) for the request
- Supporting letters from local manufacturers/sub-suppliers

4.1.6 Organs of state may contact **the dtic** in instances where the stipulated minimum threshold for local content cannot be met in order for **the dtic** to verify and in consultation with the AO/AA provide directives in this regard.

4.1.7 For further information, bidders and procuring state organs may contact the Capital Equipment and Metals Sector Desk within **the dtic** at telephone (012) 394-1356/1380 or e-mail localcontent@thedtic.gov.za.

4.1.8 Bid specifications for the designated products in this Circular may be done in collaboration with **the dtic.**

4.2. AOs/AAs must stipulate in bid invitations that:

4.2.1 The exchange rate to be used for the calculation of local production and content must be the exchange rate published by the South African Reserve Bank (SARB) on the date of advertisement of the bid.

4.2.2 Only the South African Bureau of Standards (SABS) approved technical specification number SATS 1286:2011 must be used to calculate local content.

4.3. The local content (LC) expressed as a percentage of the bid price must be calculated in accordance with the following formula which must be disclosed in the bid documentation:

$$LC = (1 - \frac{x}{y}) \times 100$$

Where

x is the imported content in Rand

y is the bid price in Rand excluding value added tax (VAT)

Prices referred to in the determination of x must be converted to Rand (ZAR) by using the exchange rate published by SARB on the date of advertisement of the bid.

4.4. AOs/AAs must clearly stipulate in the bid documentation that the SABS approved technical specification number SATS 1286:2011 and the Guidance on the Calculation of Local Content, together with the Local Content Declaration Template (Annex C: Local Content Declaration Summary Schedule), Annexure D (Imported Content Declaration: Supporting Schedule to Annex C) and Annexure E (Local Content Declaration: Supporting Schedule to Annex C) are accessible to all potential bidders on **the dtic's** official website, namely http://www.thedtic.gov.za/sectors-and-services-2/industrial-development/industrial-procurement/ at no cost.

4.5. For the purpose of paragraphs 4.1, 4.2 and 4.3 above, the Declaration Certificates for Local Production and Content (SBD/MBD 6.2) must form part of the bid documentation. The SBD 6.2 is for use by all National and Provincial Departments, Constitutional Institutions and Public Entities listed in Schedules 2, 3A, 3B, 3C and 3D to which the Public Finance Management Act applies, whilst the MBD 6.2 is for use by all Municipalities and Municipal Entities to which the Municipal Finance Management Act (MFMA) applies.

4.6. AOs/AAs must stipulate in the bid documentation that:

4.1.9 The Declaration Certificate for Local Production and Content (SBD/MBD 6.2) together with the Annex C (Local Content Declaration: Summary Schedule) must be completed, duly signed and submitted by the bidder at the closing date and time of the bid; and

4.6.2 The rate of exchange quoted by the bidder in paragraph 4.1 of the Declaration Certificate will be verified for accuracy.

5. EVALUATION OF BIDS FOR STEEL POWER PYLONS, MONOPOLE PYLONS, STEEL SUBSTATION STRUCTURES, POWERLINE HARDWARE, STREET LIGHTING STEEL POLES AND STEEL LATTICE TOWERS AND MASTS

5.1. An evaluation process in line with Preferential Procurement Regulations, 2017 must be followed.

6. EVALUATION OF BIDS BASED ON FUNCTIONALITY

6.1. Whenever it is deemed necessary to evaluate bids on the basis of functionality, the prescripts contained in PPR 2017 and paragraph 6 and 11 of the Implementation Guide must be followed.

7. POST AWARD AND REPORTING REQUIREMENTS

7.1. Once bids are awarded, **the dtic** must be:

(i) notified of all the successful bidders and the estimated value of the contracts; and

(ii) provided with copies of the contracts, the SBD/MBD 6.2 Certificates together with the Declaration C submitted by the successful bidders within 30 days of award.

7.2 The purpose of the requirements of paragraph 7.1 above is for **the dtic** to, among others, conduct compliance audits with a view to monitor the implementation of the industrial development strategies.

7.3 Contractors may not be allowed to sub-contract in such a manner that the local production and content of the overall value of the contract is reduced to below the minimum threshold as stipulated in regulation 8 of the Preferential Procurement Regulations, 2017.

8. CONTACT INFORMATION

8.1 Any enquiries in respect of Local Production and Content and all documents to be submitted to the dtic must be directed as follows:

The Department of Trade, Industry & Competition
Private Bag X84
Pretoria
0001

For Attention:

Chief Director: Industrial Procurement
Tel: (012) 394 1435
Fax: (012) 394 1535
EMAIL: localcontent@thedtic.gov.za

9. APPLICABILITY

9.1 This Circular applies to all national and provincial departments, constitutional institutions; public entities listed in schedules 2 and 3 to the PFMA, and municipalities and municipal entities to which the MFMA applies.

10. DISSEMINATION OF INFORMATION CONTAINED IN THIS CIRCULAR

10.1 Heads of provincial treasuries are requested to bring the contents of this Circular to the attention of accounting officers and supply chain management officials of their respective provincial departments.

10.2 Accounting officers of national and provincial departments are requested to bring the contents of this Circular to the attention of accounting authorities and the supply chain management officials of Schedule 3A and 3C public entities reporting to their respective executive authorities.

10.3 Accounting officers of municipalities and municipal entities are requested to bring the contents of this Circular to the attention of the supply chain management officials of their municipalities and municipal entities.

10.4 Accounting authorities of Schedule 2, 3B and 3D public entities are requested to bring the contents of this Circular to the attention of the supply chain management officials of their public entities.

11. NOTIFICATION TO THE AUDITOR-GENERAL

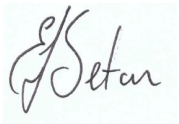
11.1 A copy of this Circular will be forwarded to the Auditor-General for notification.

12. REPEAL OF INSTRUCTION DATED 27 JULY 2016

This Circular repeals the Instruction on invitation and evaluation of bids based on a stipulated minimum threshold for local production and content for Steel Power Pylons, Monopoles Pylons; Steel Substation Structures; Powerline Hardware; Street Lighting Steel Poles and Steel Lattice Towers and Masts dated 27 July 2016 and takes effect on the date of issue.

13. AUTHORITY FOR THIS CIRCULAR AND EFFECTIVE DATE

13.1 This Circular is issued in terms of regulation 8(3) of the Preferential Procurement Regulations, 2017 and takes effect on date of issuance.



MS ESTELLE SETAN

ACTING CHIEF PROCUREMENT OFFICER

DATE: 06-Jan-2021

ANNEXURE A: DISTRIBUTION LINE, TRANSMISSION LINE AND SUBSTATION HARDWARE COMPONENTS DESIGNATED FOR 100% MINIMUM LOCAL CONTENT

Distribution Line, Transmission Line and Substation Hardware Components
Casted/Forged: Arching Horn, Clamp, Clevis, Connector, Corona ring/bell/shield, Damper, Eye, Fitting, Hook, Installation pulley, Link, Shackle, Spacer, Spindle, Suspension/Strain assembly, Thimble, Tongue, Tower and Stay Component, Turnbuckle, Weight and other casted & forged products used on powerlines and substations.
Drawn/Rolled: Bolt, Fastener, Hook, Nail, Nut, Rod, Screw, Threaded rod, Washer and other drawn & rolled products used on powerlines and substations.
Fabricated: Adjustor, Anchor, Block, Brace, Bracket, Buckle, Clamp, Clevis, Clip, Compression fitting, Connector, Cross arm/X arm, Dead end, Ferrule, Fitting, Frame, Hook, Iron, Joint, Link, Lug, Plate, Platform, Pole, Rod, Shackle, Spindle, Stay, Strap tie, Support cradle, Thimble, Tie, Washer and other fabricated products used on powerlines and substations.
Helically/Wire Formed: Armour Grip Suspension Unit, Armour Rod, Damper, Dead end, Grip, Pole top Make Off, Shunt, Spacer, Splice, Tie and other helically or wire formed products used on powerlines and substations.
Injected/Moulded/Baked/Combination: Aerial Bundle Conductor (ABC) fitting, Bird flight Diverter, Box, Bush, Fuse cut/out Base, Fuse Holder, Insulator and other injected, moulded, baked or a combination of these methods or processes products used on powerlines and substations.
Insulators, Cut-Out/Drop-out Fuses and Corona Rings
11 – 33Kv Cut-Out/Drop-out Fuses: • 11, 22 & 33kv Base Assemblies, Fuse Holder Assemblies and Solid Links
11 – 132kV Distribution Insulators: • 11 – 44kV, (40, 70, 80, & 90kN), Long Rod Insulators (All IEC end-fitting variations) • 11 – 132kV, (120 & 160kN), Long Rod Insulators (All IEC end-fitting variations) • 110 – 132kV, (210 & 300kN), Long Rod Insulators (All IEC end-fitting variations) • 11 – 132kV Braced, Horizontal, Inverse-Suspension, Jumper, Station, & Vertical Line Post Insulators (All IEC & other standard end-fitting variations)
161 – 275kV Sub-Transmission Insulators: • 161 – 275kV, (120, 160, 210, & 300kN), Long Rod Insulators (All IEC end-fittings) • 161 – 275kV Braced, Horizontal, Jumper, Station, & Vertical Line Post Insulators (All IEC & other standard end-fitting variations)
330 – 765kV Transmission Insulators: • 330 – 400kV, (120, 160, 210, & 300kN), Long Rod Insulators (All IEC end-fittings) • 400 – 765kV, (120, 160, 210 & 300 & 400kN), Long Rod Insulators (All IEC end-fittings)
132 – 765kV Corona Rings: • Ø220, 330, & 430mm Cast Aluminium Corona Rings • Ø496 & 566 mm Hot Dip Galvanised (HDG) Steel Corona Rings
Shield-Wire Insulators: • 70 & 120kN Shield-Wire Long Rod Insulators (All IEC end-fittings) • Shield-Wire Post Insulators (All IEC & other standard end-fitting variations)

1. **GENERAL:** Eskom Holdings SOC Ltd (hereinafter referred to as 'Eskom') and the Supplier enter into an order/contract (hereinafter referred to as the 'agreement') on these conditions to supply the goods or execute the works/services as described in the agreement. The agreement means the order documents, the General Conditions of Purchase, any specifications, schedules or drawings approved by Eskom relative to the order.

2. **CONDITIONS:** These conditions form the basis of the contract between Eskom and the Supplier. Where the Supplier/Tenderer does not indicate the non-acceptance of these conditions of contract it will be deemed to be accepted by the supplier. Notwithstanding anything to the contrary in any document issued or sent by the Supplier, these conditions apply except as expressly agreed in writing by Eskom. No servant or agent of Eskom has authority to vary these conditions orally.

3. **PRICE AND PAYMENT:** The prices or rates for the items stated in the agreement may include an amount for price adjustment, which is calculated in accordance with the formula stated in the agreement. The Supplier may be paid in a currency other than South African Rand. One exchange rate shall be used to convert from this currency to South African Rand (ZAR). Payment to the Supplier in this currency other than ZAR shall not exceed the amounts stated in the agreement. Eskom's CPA (IG) form must be duly completed by the Supplier. Eskom will pay for the item within 30 days after receipt of a correct Tax invoice. Eskom's VAT registration number (4740101508) has to appear on the tax invoice, before any payment will be made, as from 1 June 2004.

4. **DELIVERY AND DOCUMENTS:** 'Delivery' means delivery of goods or completion of work (if any) in compliance with the terms and conditions of the agreement at the point of delivery/site specified in the agreement on or before the date stated in the agreement. Late deliveries of the goods or late completion of the works/services may be subject to a penalty as stated in the agreement. No payment shall be made if the Supplier does not provide the goods/services/works as stated in agreement. Where goods are to be delivered:

   - the Supplier shall clearly mark the outside of each consignment or package with the Supplier's name and full details of the destination in accordance with the order and include a packing note stating the contents thereof;
   - Send to Eskom at the address for delivery of the items, an advice note specifying the means of transport, weight, number or volume as appropriate and the point and date of dispatch;
   - Send to Eskom a detailed Tax invoice after delivery of the goods or after completion of the works/services, and
   - State on all communications in respect of the agreement the agreement number.
   - State in his tender whether delivery cost is included in the price, if not, it will be deemed to be included.

5. **CONTAINERS / PACKING MATERIAL:** Unless otherwise stated in the agreement, no payment shall be made for containers or packing materials or their return to the Supplier.

6. **ACCEPTANCE:** The goods/works/services shall at all times be subject to the approval of Eskom, who may inspect and/or test the materials as well as the workmanship at any stage of the work. Should Eskom fail to notify the Supplier of its acceptance, it shall be deemed Eskom accepted the goods/works/services.

7. **RISK:** Risk shall pass to Eskom upon proof of delivery and acceptance of the goods/works/services, to the correct destination in accordance with the agreement.

8. **OWNERSHIP:** Ownership in the goods/works/services shall pass to Eskom upon payment thereof or as otherwise stated in agreement.

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9. **REJECTION:** If the Supplier fails to comply with his obligations under the agreement, Eskom may reject any part of the goods by giving written notice to the Supplier specifying the reason for rejection and whether replacement of goods or re-work is required.

- In the case of goods delivered, Eskom may return the rejected goods to the Supplier at the Supplier's risk and expense. Any money paid to the Supplier in respect of the goods not replaced within the time required, together with the costs of returning rejected goods to the Supplier and obtaining replacement goods from a third party, shall be paid by the Supplier to Eskom.

- In the case of works/services, the Supplier shall correct non-conformances/defects as indicated by Eskom. If the supplier delays to correct the non-conformance/defect, Eskom may have the non-conformance/defect corrected by a third party at the Supplier's costs.

10. **INDEMNITY:** The Supplier indemnifies Eskom against all actions, suits, claims, demands, costs, charges and expenses arising from the negligence, infringement of intellectual or legal rights or breach of statutory duty of the Supplier, his subcontractors, agents or servants or the rights of others, or from the Supplier's defective design, materials or workmanship. .

11. **WARRANTY:** Without prejudice to any other rights of Eskom under these conditions, the Supplier warrants that the goods/works/services are fit for the purpose for which they are intended and that they will remain free from defects for a period of one year (unless otherwise stated in the agreement) from acceptance. If a defect/non-conformance is found with the goods/works/services within this period, the Supplier shall rectify the defect/non-conformance within an agreed time period, free of cost to Eskom. The Supplier shall use reasonable skill and care to provide the goods/ works/services as described in the contract.

12. **ASSIGNMENT AND SUBCONTRACTING:** Neither party hereto may cede or delegate any of its rights and obligations to any person without the written consent of the other or sub-contracting by the Supplier. Notwithstanding this, Eskom may on written notice to the other party cede and delegate its rights and obligations under this agreement to any of its subsidiaries or any of its present divisions or operations which may be converted into separate legal entities as a result of restructuring.

13. **STATUTORY REQUIREMENTS:** The Supplier shall adhere to all statutory requirements relevant to the agreement which is governed by

The law of the RSA and the parties hereby submit to the jurisdiction of the SA courts.

14. **BREACH:** Subject to clause 15 (fifteen) hereof, should either party breach any condition of the agreement and fail to rectify or remedy the default, and after written notice given by the non-defaulting party, the latter shall be entitled to terminate the agreement.

15. **TERMINATION:** Eskom may terminate at any time (without prejudice to any right of action or remedy which has accrued or thereafter accrues to Eskom) if the Supplier defaults in due performance of the agreement, or becomes bankrupt or otherwise is, in the opinion of Eskom, in such financial circumstances as to prejudice the proper performance of the agreement.

16. **ETHICS:** Eskom is committed to the highest standard of ethical behavior and expects the same from all our suppliers.

This constitutes the entire agreement between Eskom and the Supplier and no addition to or variation of the agreement shall be of any force and effect unless done in writing and signed by both parties.

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General 1.

Parties 1.1 The *Employer*, the Eskom *Representative* and each *eligible* tenderer submitting a tender shall act timeously, ethically and in a manner which is fair, equitable, transparent, competitive and cost-effective.

Interpretation 1.2 Terms shown in italics vary for each tender and the details of each term in italics are identified in the Tender Data.

1.3 The Invitation to Tender documents issued by Eskom comprises of the *enquiry documents* (including any annexures thereto) and/or any *additional requirements* as stated in the Tender Data. Documents to be provided by the tenderer may form part of any contract arising from this Invitation to Tender, if so stated in the Tender Data, however, these Standard Conditions of Tender and the Tender Data shall not form part of any contract arising from this Invitation to Tender.

1.4 An *open Invitation to Tender* will be advertised on *Eskom's Tender Bulletin* and National Treasury (NT) e-Tender Portal and/or any other media if so required. A *closed Invitation to Tender* will be sent directly to a limited number of known tenderers. A sole source is regarded as a tenderer who meets the requirements as stated in the Eskom Procurement and Supply Chain Management Procedure 32-1034. Any addenda to the Invitation to Tender, will be published or issued in the same way as the Invitation to Tender was, and will form part of the enquiry documents.

Communication 1.5 Each communication between Eskom and a tenderer shall be to or from the Eskom *Representative* only, in writing, and in a format that can be read, copied and recorded. For this purpose, 'in writing' means hand-written, type-written, printed or electronically made, and resulting in a permanent record. Communication shall be in the English language. Eskom takes no responsibility for non-receipt of communications from or by a tenderer

Eskom's rights to accept or reject any tender 1.6 Eskom may accept or reject any variation, deviation or *alternative tender* and reserves the right to accept the whole or any part of the tender. Eskom may cancel the tender process at any time prior to the formation of a contract and will give written reasons for the cancellation upon written request to do so. After the cancellation of the tender process or the rejection of all tenders due to non-compliance with the thresholds, Eskom may abandon the proposed work and services, have it performed in any other manner, or re-issue a similar invitation to tender at any time. Eskom, its subsidiaries, shareholders, advisors, directors, employees, representatives including the Eskom *Representative* shall not be liable for any losses, claims or damages of whatsoever nature or howsoever arising which may be sustained by a tenderer or any other person as a result of its participation or any amendment, termination or suspension of the process set out in this Invitation to Tender or its exclusion from participating in the tender process at any point.

Eskom's right to negotiate 1.7 Eskom reserves the right to enter into mandated negotiations with any one or more selected tenderer(s) in accordance with Eskom's approved procurement policies and procedures.

Disclaimer regarding accuracy of tender 1.8 While Eskom takes all reasonable measures to ensure that all information contained in the tender documents is correct and complete, Eskom does not, however, make any representations or warranties, express or implied, as to the accuracy or completeness of such information and Eskom expressly disclaims any

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documents and all liability for such representations, warranties or statements.

Tenderer's Obligation

2. The tenderer shall comply with the following obligations when submitting a tender and shall:

Eligibility

2.1 Submit a tender only if the tenderer (whether a single company or a structure similar to a Joint Venture) complies with the *eligibility criteria* stated in the Tender Data and the tenderer, or any of his principals, is not under any restriction to do business with Eskom/State Owned Companies.

Tenderers are not permitted to sub-contract 100% of the SOW. Any tender that is based on 100% sub-contracting will be deemed ineligible and will be disqualified.

Tender closing time

2.2 Ensure that Eskom has received the complete original tender and one (1) complete hard copy of the original tender at the *address* and in the tender box or *facsimile number or e-mail address* specified in the Tender Data by no later than the *deadline for tender submission*. Proof of posting or of courier delivery will not be taken by Eskom as proof of delivery. Eskom will not accept a tender submitted telephonically or by e-mail, unless stated otherwise in the Tender Data.

2.3 Any reference to time will mean South African Standard Time (SAST), i.e. GMT+2 hours. The *closing time* will be determined by using the Telkom time signal as available over the telephone. This time will be strictly adhered to.

2.4 Accept that if Eskom extends the deadline for tender submission for any reason, the requirements of these Standard Conditions of Tender apply equally to the extended deadline. Tenderers are required to visit the *Eskom Tender Bulletin* and NT e-Tender Portal regularly in the case of an open tender to ensure they are informed of any changes in either the *deadline for submission* or any other amendments relating to the Invitation to tender,

2.5 Any tenders not in the tender box or received by Eskom as stipulated in the Tender Data at the *deadline for tender submission* will be considered late. No late tender will be accepted. Accept that Eskom will not assume any responsibility for the misplacement or premature opening of the tender if the outer package is not sealed and the *address* and *references* are marked incorrectly.
Without limitation, Eskom takes no responsibility for any delays in any courier or postal system or any delays in transit of tenders or for tenders delivered to a location other than the tender box at the tender office stated in the Tender Data.

Where it is permissible for tenders to be received by facsimile, Eskom takes no responsibility for difficulties in transmission caused by line or equipment faults. Completed tenders not received at the designated facsimile machine by the *deadline for tender* submission will be considered late. The time print on both the sending and receiving facsimile machines will be disregarded, as the Telkom time signal as available over the telephone determines the closing time, by which the completed tender must be received.

Eskom employees are not permitted to deposit a tender into the Eskom tender box on behalf of a tenderer.

Cost of tendering

2.6 Accept that Eskom will not compensate the tenderer for any costs incurred in the preparation and submission of a tender, or the negotiation of any contract, including the costs of any testing necessary to demonstrate that aspects of the tender satisfy the evaluation criteria.

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Submitting a tender

2.7 Check the *enquiry documents* on receipt and notify the Eskom *representative* of any discrepancy or omissions of documents. The Acknowledgement Form must be completed as required and submitted with the tender and must clearly state if the tender is for the whole or part of the works, services or supply identified in the specification and/or works information by Eskom

2.8 Return the *mandatory tender returnables* to Eskom for evaluation purposes by tender submission deadline, and *other tender returnables* that are required for contract award, before contract award, completing without exception; all the forms, data and schedules included therein. Where any certificate, document, proof of registration or the like is required to be submitted as a *mandatory* or *other tender returnable*, the tenderer must ensure that Eskom is in possession of a valid, current and where stipulated, an original certificate/document for the duration of the *tender validity* period and, if the tender is successful, up to contract award.

2.9 Submit the tender as a complete original tender, plus one (1) complete hard copy of the original tender. These tenders must be submitted in English. If one (1) complete hard copy of the original tender is not submitted, the tender will be disqualified. Eskom may also require that one (1) additional complete soft copy of the original tender is required in an electronic format. Tenders may not be written in pencil and must be completed in ink.

2.10 Sign the original tender. Eskom will hold the signatory named as the person duly authorised to sign the tender on behalf of the tenderer, liable for the tender.

2.11 Seal the original tender and the copy (ies) of the tender as separate packages marking the packages as "ORIGINAL" and "COPY". Each package shall state the Eskom address on the outside, the *Invitation to Tender number* stated in the Tender Data, as well as the tenderer's name and contact address.

2.12 Seal the original tender and required complete copies together in an outer package that states on the outside, only the Eskom address and *Invitation to Tender* number as stated in the Tender Data. The outer package must be marked “CONFIDENTIAL”.

Tender validity

2.13 Hold the tender(s) valid for acceptance by Eskom at any time within the *validity period* after the *deadline for tender submission*. Extend the *validity period* for a specified additional period if Eskom requests the tenderer to do so. A tenderer agreeing to the request will not be required or permitted to modify a tender. If contracts have not been concluded and the tender validity has not been extended (as prescribed in the Eskom PSCM 32-1034) and lapses; then the tenders are deemed to be invalid and the procurement process cannot continue. A new procurement process will have to be initiated.

Confidentiality and copyright of documents

2. 14 Treat as confidential all matters arising in connection with the tender. Use and copy the documents provided by Eskom only for the purpose of preparing and submitting a tender in response to this Invitation to Tender.

Standardised specifications and other publications

2.15 Obtain, if required, for the purposes of submitting a tender, copies of the latest revision of standardised specifications and/or other documents, which are not attached to the Invitation to Tender, but which may be incorporated in the contents of the *enquiry documents* by reference.

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Site visit and / or clarification meeting	2.16	Tenderers must attend a *site visit and/or clarification meeting* that is cited as being compulsory in order to familiarise themselves with the proposed work, services or supply, location, etc. and raise questions. Details of the meeting(s) are stated in the Tender Data. Failure to attend such compulsory meeting/site visit will result in the tender being disqualified.
Seek clarification	2.17	Request clarification of the *enquiry documents,* if necessary, by notifying the Eskom *Representative* earlier than the *closing time for clarification of queries*.
Insurance	2.18	Be informed that the extent (if any) of insurance provided by Eskom may not be for the full cover required in terms of the relevant category listed in the *conditions of contract*. The tenderer is advised to seek qualified advice regarding insurance.
Pricing the tender	2.19	Include in the rates, prices, and the tendered total of the Prices (if any) all duties, taxes (including VAT), and other levies payable by the successful tenderer. Such duties, taxes and levies are those applicable 14 (fourteen) days prior to the *deadline for tender submission*.
	2.20	Provide rates and Prices that are fixed for the duration of the contract and not subject to contract price adjustment except as provided for in the *Enquiry.*
	2.21	State the rates and Prices in South African Rand unless instructed otherwise in the Invitation to Tender. The selected *conditions of contract* may provide for part payment in other currencies. Submit r Prices in accordance with the exchange rate and base date as stipulated in the Invitation to tender.
Alterations to documents	2.22	Not make any alterations or additions to the *tender documents*, other than for purposes of complying with instructions issued by the Eskom *Representative* or if necessary to correct errors made by the tenderer. All such alterations shall be initialed by all signatories to the tender. Corrections may not be made using correction fluid, correction tape or the like.
Alternative tenders	2.23	Submit alternative tenders only if a main tender is also submitted, and only if this is permitted in the Invitation to Tender. Accept that an alternative tender may be based only on the *criteria* stated in the Tender Data and as acceptable to Eskom
Clarification and correction of Prices after tender submission	2.24	Provide clarification and documents as required by the Eskom *Representative* during the evaluation of tenders, if not submitted. However, mandatory tender returnables (that were required at tender submission deadline) will not be requested and may not be submitted after tender submission deadline. Clarifications may include providing a breakdown of rates or Prices, and may not result in changes to prices or substance of the tender submitted, except as required by the Eskom *Representative* to confirm the *correction of arithmetical errors* discovered in the evaluation of tenders. The total of the Prices as corrected by Eskom with the concurrence of the tenderer, shall be binding upon the tenderer.
Sign Form of Agreement	2.25	Undertake to check the final draft of the contract provided by the Eskom *Representative,* and sign the contract documents.
Proof of authority to act	2.26	Where an agent on behalf of a principal submits a tender, an authenticated copy of the authority to act as an agent of the tenderer must be submitted as a *tender*

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as agent

returnable.

Compliance with relevant legislation (NT instructions, CIDB, PPPFA etc)

2.27 Comply with relevant legislation such as NT instructions (CSD, etc.), CIDB regulations for construction works; designated materials according to dti, PPPFA regulations; Amended B-BBEE Codes, COIDA; OHS Act; Eskom's requirements for Safety, Health, Environment and Quality (SHEQ) etc. and any other applicable legislation/regulations as may be set out in Invitation to Tender.

2.28 Tenderers are required to provide reasonable proof to the satisfaction of Eskom, that safety, health, environmental and quality (SHEQ) systems, policies and capabilities are in place at the time of contract award. All costs and personnel associated with SHEQ should be reflected in the tender for Eskom's assessment thereof.

2.29 Where CIDB is applicable; proof of registration on CIDB is mandatory at tender closing deadline. Should this not be received as stipulated in the enquiry; the tender will be disqualified. However, in the event that, at tender deadline submission, only proof of application for registration on CIDB is available, then this must be submitted by tender closing deadline, while the actual proof of CIDB registration (printout from CIDB database) must be submitted by contract award.

Contract Skills Development Goal (CSDG)

2.30 The Contractor shall achieve in the performance of the contract the CSDG established in the CIDB Standard for Developing Skills through Infrastructure Contract (Published in GGN36760 of March 2020). CSDG is applicable to all classes of works exceeding R60 million and where the contract duration is 12 months or more or to Professional services/service contract/order where the estimated contract exceed R5 million and where the contract duration is 12 months or more.

Contract Participation Goals (CPG)

2.31 Contractor shall achieve in the performance of the contract the Contract Participation Goals (CPG) relating to the engagement of targeted enterprise as established in the CIDB standard for Indirect targeting for enterprise development through Construction works contracts (Published in GN No:36190 of the 25 February 2013)
Contract participation goals is only applicable in Grade 7-9 General Building (GB) and Civil Engineering (CE) contract where the contract duration is 6 months or more.
Construction Works contracts in which at least 25% of the main contract could reasonably be expected to be sub-contracted out in one or more of the following classes: -
Civil Engineering (CE)

- Electrical Engineering Work (EB)
- General Building Works (GB)
- Mechanical Engineering (ME)

The contractor shall engage targeted enterprise/s in the performance of the contract to the extent that at least 5 % contract participation goal is achieved

The contractor shall determine the contract skills participation goals expressed in Rands which shall not be less than the contract amount multiplied by a percentage factor.

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	2.32	Eskom may disqualify a tender if it is found that the tenderer has misrepresented or falsified any information, certificate, affidavit or document. A fraudulent B-BBEE certificate/affidavit or 'fronting' will be reported to the B-BBEE Commissioner and the tenderer will be suspended from business with any State Owned Company for up to 10 years and may even be sentenced to jail.
Tenderer's Supplier Development & Localisation (SD&L) Undertaking	2.33	Tenderers are also required to complete fully and submit the SD&L Undertaking (annexure to the Invitation to Tender) by no later than contract award. If this SD&L Undertaking is not completed and submitted as indicated in the Invitation to Tender, your tender will not be considered for contract award.
Provision of Security for Performance	2.34	To the extent that the provision of security for performance is a requirement, the tenderer must indicate the names of a minimum of two (2) financial institutions that the tenderer is likely to approach in order to obtain the required form of security. Eskom reserves the right to reject the financial institution if found not to be suitable.
Respond to clarification	3.1	Respond to a request for clarification received earlier than the *closing time for clarification of queries.* The responses will be published to all tenderers in the same manner the *enquiry documents* were issued and it is the tenderers responsibility to check the Eskom Tender Bulletin and NT e-Tender Portal regularly for updated responses to clarifications by the Eskom *Representative.*
Issue Addenda	3.2	If necessary, issue Addenda that may amend, amplify, or add to the *Enquiry documents.* If a tenderer applies for an extension to the *deadline for tender submission*, in order to take Addenda into account in preparing a tender, Eskom may grant such an extension and the Eskom *Representative* shall notify all tenderers of the extension.
Return late tenders	3.3	Return tenders received after the *deadline for tender submission* unopened to the tenderer submitting a late tender. Tenders will be deemed late if they are not received at the designated facsimile machine or in the designated tender box at the date and time stipulated as the *deadline for tender submission*
Tender opening	3.4	Open the tenders in the presence of the tenderers' representatives who choose to attend at the time and place stated in the Tender Data. Tenders for which an acceptable notice of withdrawal has been submitted will not be opened.
	3.5	At tender opening, Eskom will announce the names of the tenderers. Prices may be announced if so stated in the Tender Data.
Non-disclosure	3.6	Unless required to do so by law, not disclose to tenderers, or to any other person not officially concerned with such processes, information relating to the evaluation and comparison of tenders and recommendations for the award of a contract, until after the award of the contract to the successful tenderer.
Grounds for rejection	3.7	Reject a tender after the Eskom Supplier Reconsideration Committee has established through the Eskom prescribed processes, that there is proof that the tenderer influenced the processing of tenders or awarding of the contract; that colluding/ bid rigging or any fraudulent activity has taken place in connection

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with the Invitation to Tender.

Clarification of a tender	3.8	Obtain from a tenderer clarification of any matter in the tender which may not be clear or could give rise to ambiguity in a contract arising from this tender if the matter were not to be clarified. Mandatory documents will not be requested but clarity on it may be required.
Basic Compliance	3.9	Determine before detailed evaluation, whether each tender received meets the *basic compliance* as stated in the enquiry. A tenderer's failure to comply with the stated *basic compliance* of tender will render a tender non-responsive. It must further be noted that a tenderer's failure to provide one (1) complete hard copy of the original tender, will result in the disqualification of the tender from further evaluation. Tenderers will not be permitted to provide one (1) complete hard copy after the *tender submission deadline date*, and Eskom is not responsible for making copies of original tenders.
Mandatory tender returnables	3.10	A tender that does not include mandatory documents or information as stipulated in the Invitation to Tender and by the required deadlines; will be deemed non-responsive.
Pre-Qualification Criteria	3.11	Tenderers, who comply with the basic compliance and mandatory tender returnables, are required to comply with Pre-Qualification criteria, if stipulated in the Invitation to Tender. It must be noted that Eskom will not measure a criterion twice in the different evaluation phases, as this is regarded as 'double dipping'.
Designated materials and thresholds	3.12	Certain materials are identified by dti as designated materials and a specified percentage (gatekeeper for further evaluation) must be bought from local companies. A tenderer's failure to meet stipulated gatekeepers as per the dti's requirement for local support of designated materials will also render the tender non-responsive.
Functionality requirements	3.13	If functionality is a criterion; tenderers are scored against the technical functionality criteria and have to meet the minimum threshold as stated in the Tender Data. Only if this minimum threshold is met/exceeded will the tender be evaluated further.
Financial analysis	3.14	Eskom has to determine the risk of doing business with a supplier who may pose financial risks to Eskom in the execution of the contract. During evaluation of the financial statements, Eskom will try to identify mitigating factors/ requirements for the tenderer to meet, if applicable. However, should there be insufficient suitable mitigating factors or the risk is deemed too high; Eskom may disqualify the tender.
Evaluation of Price	3.15	Evaluate the price according to the criteria/requirements set in the Tender Data. Factors such as CPA, FOREX, commodity increases, discounts, NPV, forecasted rates of invoicing are taken into account when determining the Price.
Arithmetical errors	3.16	Check responsive tenders for arithmetical errors/ discrepancies between amounts in figures and in words, the amount in words shall govern. Check the highest ranked tender/tenderer with the highest number of evaluation points after the evaluation of tender offers with respect to the following errors/omissions:-

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a) the gross misplacement of the decimal point in any unit rate; or
b) omissions made in completing the pricing schedule or bill of quantities, or
c) arithmetical errors due to :-line item totals resulting from the product of a unit rate and a quantity in a bill of quantities or schedule of prices; or
d) the summation of the prices

Eskom will notify the tenderer of all errors/omissions that are identified in the tender offer to either confirm the tender offer as tendered or to accept the corrected total of prices

Where the tenderer elects to confirm the tender offer as tendered; Eskom will correct the error as follows:-

d) If a bill of quantities/pricing schedule applies and there is an error in the line item total resulting from the product of the unit rate and the quantity, the line item total shall govern, and the rate shall be corrected.
Where there is an obviously gross misplacement of the decimal point in the unit rate, the line item total as quoted shall govern, and the unit rate shall be corrected.

e) Where there is an error in total of the prices either as a result of other corrections required by this checking process or in the tenderer's addition of prices, the total of the prices shall govern and the tenderer shall be asked to revise the selected item prices (and their rates if bill of quantities apply) to achieve the tendered total of the prices.

Eskom will consider the rejection of a tender offer if the tenderer does not correct or does not accept the correction of errors in the required manner.

Evaluation of B-BBEE 3.17 Score the B-BBEE level as stated on the CSD report or as per certificate/affidavit provided. If the B-BBEE level is a pre-qualification criterion; then the proof of the B-BBEE level (certificate/CSD number/CSD report) must be provided at tender submission deadline; or the tender will be disqualified. If sub-contracting to designated groups pre-qualification criteria are utilized (selected/mandatory) in terms of the PPPFA Regulation, then Eskom will apply the PPPFA requirements for sub-contractors' B-BBEE status and the sub-contractors' CSD number or B-BBEE certificate/affidavit will need to be provided at tender submission deadline. Should the information/documents provided indicate that the level is in dispute (fraudulent/ expired) then the tender will be disqualified.
However, for the purposes of PPPFA point allocation: if no B-BBEE certificate/affidavit is provided at Tender closing deadline, or the information/documents provided are fraudulent or have expired; then the tenderer will not be disqualified (if otherwise deemed to be responsive and acceptable in all other aspects) but will score zero under PPPFA point allocation.

Ranking of tenders 3.18 According to the PPPFA , Eskom will add the score for Pricing and the B-BBEE level together and rank the suppliers from the highest to the lowest.

Objective criteria 3.19 A contract may be awarded to a tenderer that did not score the highest points only in accordance with Section 2(1) (f) of the PPPFA Act 5 of 2000. If Eskom intends to apply objective criteria in terms of Section 2 (1) (f), Eskom must stipulate the applicable objective criteria in the tender documents. Functionality and any element of the B-BBEE scorecard may not be used as objective criteria.

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Reverse e-Auction	3.20	Reverse e-auction is an electronic price and preference point system (aligned to PPPFA) that aims to achieve the most competitive prices. Eskom reserves the right to utilize reverse e-auction in certain enquiries. Where reverse e-auction is utilized in a specific enquiry this will be indicated in the respective enquiry and the relevant reverse e-auction supporting documents will form part of the enquiry. The Tenderers will be required to submit a complete tender but without prices. Where a supplier includes prices in their tender; these prices will not be considered and be disregarded.
Acceptance of tender	3.21	Notify Eskom's acceptance to the successful tender before the expiry of the validity period, or agreed additional validity period. Inform the successful and unsuccessful tenderers only once approval has been granted by the Eskom Adjudication Authority. For open tenders, this notification must be published on the Eskom Tender Bulletin and NT e-Tender Portal.
Prepare contract documents	3.22	Revise the contract documents issued by Eskom as part of the Enquiry documents to take account of: • Addenda issued during the tender period, • Inclusion of some of the tender returnables as stated, • Inclusion of changes as agreed during negotiations, • Other revisions or documents agreed to between Eskom and the successful tenderer during negotiations,
Sign Form of Agreement	3.23	Arrange for authorised signatories of both parties to complete and sign the original and one copy of the Form of Agreement.

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